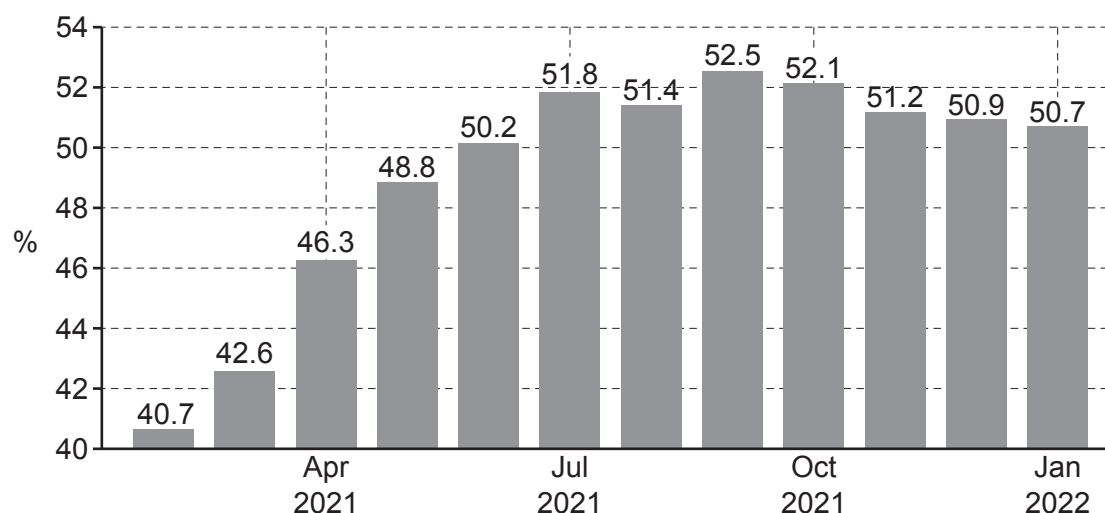


Test Yourself
Macroeconomics
Inflation/Deflation
and Policies

Inflation in Argentina

Argentina's annual inflation rate increased from just over 40% in February 2021 to just over 50% in January 2022. Argentina's annual inflation rate, as measured by changes in the consumer price index (CPI) over 12 months is shown in Fig. 1.1.



Source: *tradingeconomics.com*, 19 October 2022

Fig. 1.1 Annual rate of inflation in Argentina, February 2021 to January 2022

Argentina has the fifth highest inflation rate in the world after Venezuela, Sudan, Suriname and Zimbabwe. It is forecast to continue to rise during 2022 to reach an annual rate of between 55% and 58% by the end of the year. One of the main reasons for this high rate of inflation is excessive growth of the money supply. The need to lower the rate of inflation in Argentina is considered essential by many economists.

The government of Argentina has tried to control the increase in the rate of inflation by imposing maximum prices on 1432 products. This has the advantage of limiting price increases, but such a policy can also have a number of disadvantages. One such disadvantage is the creation of excess demand in markets.

Another policy has been to increase interest rates. In January 2022, Argentina's central bank raised its main interest rate from 38% to 40%, but many economists argued that this increase was insufficient to control inflation. This is because the real interest rate will be negative. A more appropriate monetary policy would be to lift the interest rate above the inflation rate so that the real interest rate will be positive.

Source: *Adapted from: Buenos Aires Times*, 15 February 2022

- (a) Using the data in Fig. 1.1, describe the trend shown in the annual inflation rate in Argentina over the period February 2021 to January 2022. [2]
- (b) Explain what is meant by 'the real interest rate will be negative' in Argentina in January 2022. [2]
- (c) Consider the extent to which having 'the fifth highest inflation rate in the world' is likely to be a problem for Argentina's economy. [4]
- (d) Assess whether the potential benefits of introducing maximum prices on 1432 products in Argentina are likely to outweigh the potential disadvantages. [6]
- (e) Assess the potential benefits and limitations of using monetary policy to control inflation in a country such as Argentina. [6]

Section B

Duration of each question is **40 mins**

1. Explain the reasons why governments impose taxes **and** consider whether an increase in income tax is fairer than an increase in sales taxes. (8) **q4a/21/O/N/23**
2. Assess whether a government should always aim to balance its budget rather than have a budget surplus or a budget deficit. (12) **q4b/21/O/N/23**
3. With the help of a diagram(s), explain one reason for an increase in aggregate demand and one reason for an increase in aggregate supply **and** consider whether an increase in aggregate demand will always lead to inflation. (8) **q5a/22/O/N/23**
4. Assess whether the internal effects of inflation are more serious than the external effects of inflation for an economy. (12) **q5b/22/O/N/23**
5. With the help of an AD/AS diagram(s), explain cost-push inflation and demand-pull inflation in an economy **and** consider in what circumstances one may be more damaging than the other. (8) **q4a/21/M/J/23**
6. Assess whether monetary policy or supply-side policy is likely to be more successful in reducing the rate of inflation in an economy. (12) **q4b/21/M/J/23**
7. Assess whether monetary policy is the only way to control a high rate of inflation. (12) **q5b/22/M/J/23**
8. Explain how monetary policy may be able to reduce the rate of inflation in an economy **and** consider the likely success of this policy. (8) **q5a/23/M/J/23**
9. Assess how governments use macroeconomic intervention to achieve their macroeconomic objectives. (12) **q5b/23/M/J/23**
10. Assess whether a government should always aim for an expansionary fiscal policy rather than a contractionary fiscal policy. (12) **q4b/21/O/N/24**

11. With the help of examples, explain the difference between the marginal rate of taxation and the average rate of taxation **and** consider whether a government should decide to increase the rate of indirect tax to raise additional revenue. (8) **q5a/22/O/N/24**
12. Assess whether the achievement of a balanced budget should always be a main government macroeconomic objective. (12) **q5b/22/O/N/24**
13. In 2021, year-on-year inflation in many economies increased to a level not experienced for fifty years. With the help of a diagram, explain what is meant by cost-push inflation **and** consider whether this type of inflation has affected your own economy since 2021. (8) **q4a/23/O/N/24**
14. Assess whether the potential benefits of an increasing rate of inflation outweigh the potential costs for an economy. (12) **q4b/23/O/N/24**
15. Explain **three** of the components of aggregate demand and consider the extent to which they may be increased without leading to inflation. (8) **q4a/21/M/J/24**
16. The Chinese government has re-emphasized its commitment to rebalancing the economy from one focused mainly on investment and exports to one aiming to increase the proportion spent on domestic consumption. Assess the extent to which it would be possible to achieve this by fiscal policy alone. (12) **q4b/21/M/J/24**
17. With the help of a diagram, explain how increases in aggregate demand affect the level of real output and the price level in an economy **and** consider when such increases may become a problem. (8) **q4a/23/M/J/24**
18. With the help of an AD/AS diagram, explain what is meant by an expansionary fiscal policy **and** consider the extent to which an expansionary fiscal policy will always increase the level of aggregate demand. (8) **q5a/22/F/M/25**
19. Assess the extent to which supply-side policy is the best method to reduce the rate of inflation. (12) **q5b/22/F/M/25**

Section C

Duration 1 hour

1. Why would a fall in a country's average price level cause its aggregate demand curve to slope downwards?
 - A It leads to an increase in interest rates.
 - B It reduces the real value of money balances.
 - C It makes the country's goods cheaper relative to foreign goods.
 - D It leads to the expectation of further price falls.

2. To counter deflation a central bank uses expansionary monetary policy.
What is likely to result?
 - A a higher cost of borrowing
 - B an increase in aggregate demand
 - C an appreciation of the exchange rate
 - D an increase in government debt

3. Which statement about government budget surpluses and deficits is the most accurate?
 - A A surplus implies that the balance of payments is in surplus.
 - B A surplus implies that the government is spending too much money.
 - C A deficit implies that the economy is in decline.
 - D A deficit implies that the national debt is increasing.

4. What is most likely to decrease if a government uses expansionary fiscal policy?
 - A a balance of payments deficit
 - B cyclical unemployment
 - C the level of wages
 - D the rate of inflation

5. Sweden had a change in its Consumer Prices Index (CPI) of -0.6% .

Which combination of policies might its government use to restore price stability?

- A increase interest rates and increase indirect taxes
- B increase interest rates and reduce government spending
- C reduce government spending and increase income tax
- D reduce interest rates and increase government spending

6. Which combination of fiscal and monetary policies is most likely to be effective in the short run to prevent deflation in a closed economy?

	fiscal policy	monetary policy
A	decreasing the budget deficit	decreasing the interest rate
B	decreasing the budget deficit	decreasing the money supply
C	increasing the budget deficit	decreasing the interest rate
D	increasing the budget deficit	decreasing the money supply

7. What is **not** a supply-side policy?

- A increasing government expenditure on infrastructure
- B increasing research and development expenditure
- C increasing subsidies for education and training
- D increasing the supply of money

8. Which combination correctly identifies the necessary information to construct an accurately labelled graph of a normal short-run aggregate supply curve (SRAS)?

	gradient of the SRAS curve	horizontal x-axis	vertical y-axis
A	negative	quantity	price level
B	positive	real output	price level
C	positive	real output	price
D	positive	price level	real output

9. A government makes two changes to income tax.
- 1 The individual tax-free income allowance is increased.
 - 2 The marginal rate of income tax is decreased.

How will these changes affect aggregate demand and aggregate supply in the economy?

	aggregate demand	aggregate supply
A	decrease	increase
B	decrease	unchanged
C	increase	increase
D	increase	unchanged

10. Which supply-side policy is most likely to decrease a government's budget deficit?

- A** cutting tax rates on company profits
- B** cutting unemployment benefits
- C** raising spending on education and training
- D** raising tax-free income tax allowances

11. Which combination of fiscal and monetary policies would certainly be expansionary?

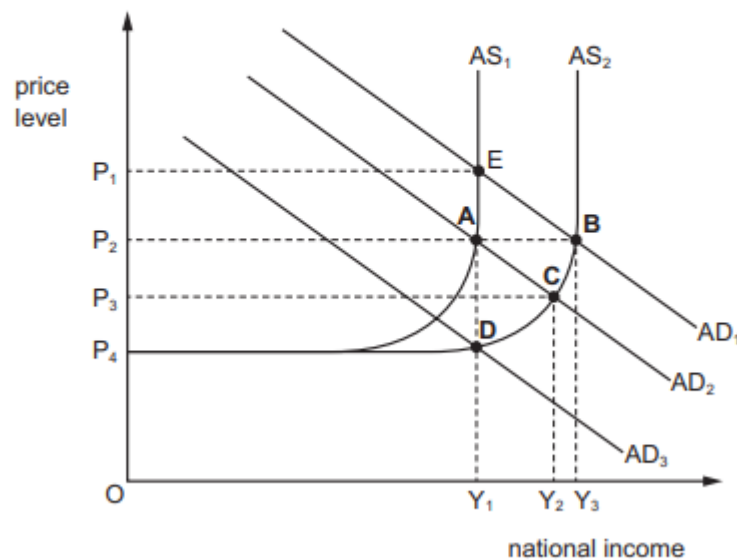
	government spending	taxes	money supply
A	decrease	decrease	decrease
B	decrease	increase	decrease
C	increase	decrease	increase
D	increase	increase	increase

12. The central bank of a country raises interest rates to reduce the general price level.

When is this policy likely to have the biggest impact?

	position of the economy on its production possibility curve (PPC) diagram	responsiveness of aggregate demand to interest rate changes
A	below the PPC	high
B	below the PPC	low
C	on the PPC	high
D	on the PPC	low

13. What is likely to move an economy's aggregate demand curve to the right?
- A a fall in income equality
 - B a fall in incomes abroad
 - C a fall in the exchange rate
 - D a fall in the government budget deficit
14. In an economy with an interest rate of 4% per annum, the rate of inflation falls from 5% to 3% per annum.
- What will be a benefit of this fall?
- A Menu costs will fall to zero.
 - B People on fixed incomes will be better off in real terms.
 - C Savers will gain in real terms.
 - D The purchasing power of the currency will rise.
15. Which supply-side policy is likely to lower real output before raising it?
- A increased spending on early years education
 - B increased spending on infrastructure
 - C reduced import barriers
 - D subsidies to exporters
16. An economy is in equilibrium at point E on the diagram.
- The government reduces its expenditure on defence.
- Which point on the diagram shows the new equilibrium?



17. Supply-side policy often has fiscal consequences.

Which statement is **not** correct?

- A Increased government spending supporting technical progress has beneficial long-term supply-side effects but may have short-term inflationary consequences.
- B Increased government expenditure on training increases a country's long-run aggregate supply (LRAS) and also has an expansionary effect on aggregate demand (AD).
- C Reduced government infrastructure spending reduces an economy's LRAS and has a short-term expansionary effect on AD.
- D Reduced rates of tax on higher incomes increases an economy's LRAS and has an expansionary effect on AD.

18. Changes in fiscal policy can affect the distribution of income and wealth.

Which combination of fiscal policy would most likely be regressive?

- A a fall in the lowest level of income when income tax has to be paid and a fall in the rate of inheritance tax
- B a fall in the charge made for visits to a doctor and a rise in the level of unemployment benefit
- C a rise in the rate of income tax charged at higher levels of income and a rise in the standard rate of corporation tax
- D a rise in the standard rate of income tax and a fall in the standard rate of goods and services tax

19. If a country is experiencing a period of high inflation, which groups will benefit the most from this?

	companies that export the majority of their output	fixed income earners	those with high debts
A	yes	yes	no
B	no	yes	yes
C	yes	no	no
D	no	no	yes

20. Why is increased government provision of education most likely to shift the aggregate demand curve to the right?
- A It will increase aggregate supply.
 - B More schools will be built.
 - C The government will have to raise taxes.
 - D Workers will be more highly skilled.

21. Over a period of a year, the annual rate of inflation becomes negative.

Which statement must be correct?

- A The cost of living has fallen.
- B The purchasing power of money has fallen.
- C The standard of living has increased.
- D There has been an increase in the Consumer Price Index.

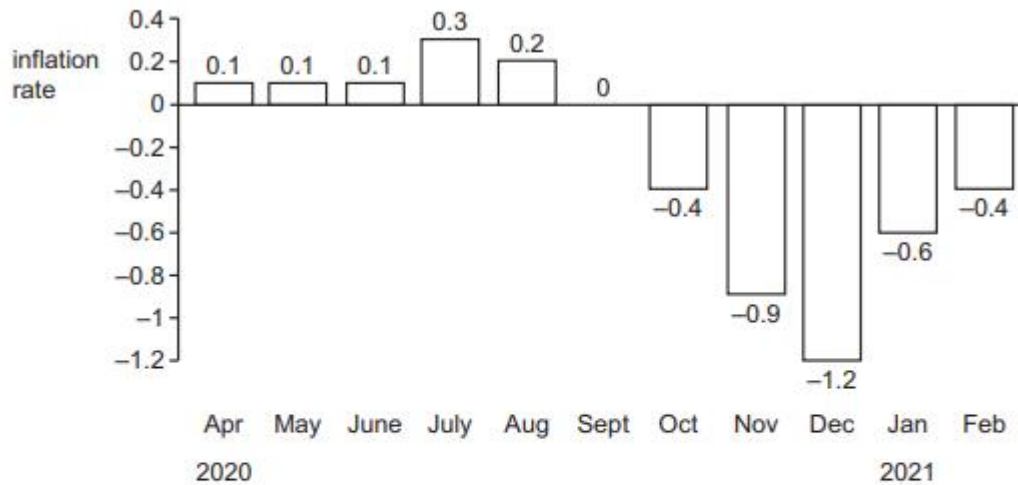
22. Which combination would represent the most expansionary set of monetary policies?

	credit availability	interest rates	money supply
A	increased	up	reduced
B	increased	down	increased
C	reduced	up	increased
D	reduced	down	reduced

23. Which combination is possible for an economy experiencing zero inflation?

	average nominal wages	average real wages
A	falling	falling
B	falling	rising
C	rising	falling
D	unchanging	rising

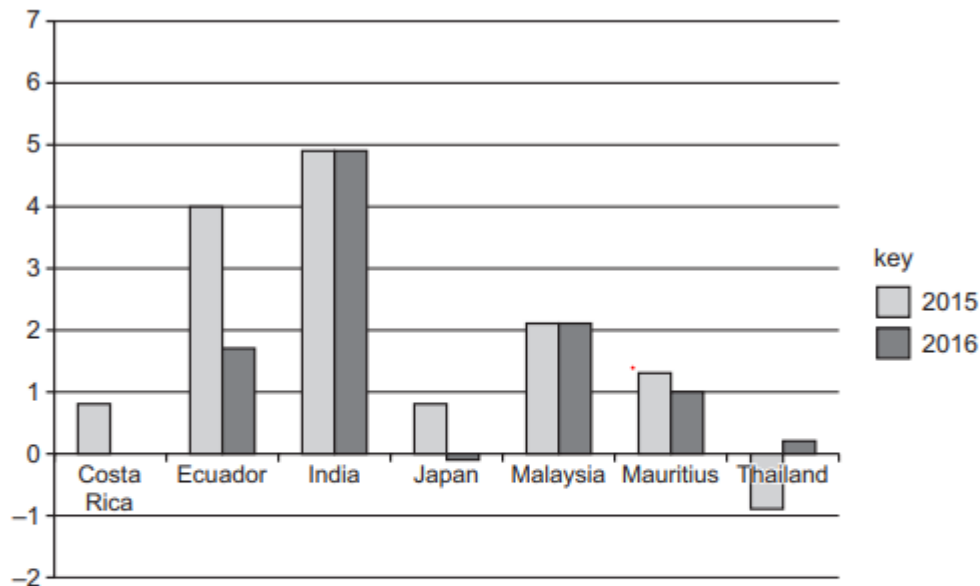
24. The graph shows the rate of inflation in Japan from April 2020 to February 2021.



Over which period did disinflation occur in Japan?

- A July 2020 to February 2021
- B July 2020 to September 2020
- C October 2020 to December 2020
- D October 2020 to February 2021

25. The graph shows the rate of inflation for seven countries for 2015 and 2016.



What can be concluded from this graph?

- A Prices in Costa Rica rose in 2015 but remained constant in 2016.
- B Prices in Ecuador and Mauritius were lower in 2016 than in 2015.
- C Prices in India and Malaysia remained constant in 2016 and 2015.
- D Prices in Thailand and Japan were lower in 2016 than in 2015.

26. Which combination of initial equilibrium and supply-side policy is likely to be **least** effective when attempting to increase the real output of an economy?

	initial equilibrium real output	supply-side policy measure
A	below full employment	abolition of national minimum wage
B	below full employment	extra spending on training
C	full employment	extra investment in infrastructure
D	full employment	reduction in the rate of income tax

27. The table shows a country's total output and its average price in each of three years.

year	output (millions)	price (\$)
1	10	20
2	12	24
3	13	26

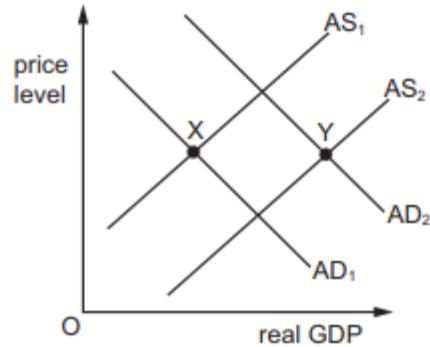
What can be concluded about output?

- A** Nominal output and real output increased at the same rate.
 - B** Nominal output rose at a faster rate than real output.
 - C** Nominal output rose at an increasing rate.
 - D** Real output rose at a constant rate.
28. In 2018, the inflation rate in Argentina was over 100%.

Which combination correctly identifies the winners and losers during this period?

	winners	losers
A	firms selling goods abroad	households paying back loans
B	firms unable to decrease real wages	firms paying back loans on fixed monthly repayments
C	individuals with a high amount of debt at a fixed rate of interest	households that hold most of their assets in cash
D	workers on fixed wage contracts	the retired on fixed incomes

29. The diagram shows the AD/AS curves for an economy.



Which government action is most likely to cause the equilibrium position to move from X to Y?

- A an increase in the exchange rate that makes locally produced goods less price-competitive, both at home and abroad
- B an increase in government spending on infrastructure that increases the production potential of the economy
- C an increase in interest rates that increases the cost of borrowing
- D an increase in real wages of labour

30. A country is suffering from severe deflation.

What is most likely to prevent the deflation from worsening?

- A increasing income tax to help reduce the government's budget deficit
- B increasing interest rates to encourage more saving
- C increasing transfer payments to reduce inequality of income
- D revaluing the currency to bring in more revenue from exports

Question	Answer	Marks
Follow the point-based marking guidance at the top of this mark scheme.		
1(a)	Using the data in Fig. 1.1, describe the trend shown in the annual inflation rate in Argentina over the period February 2021 to January 2022. - The overall trend during this period has been upward/increasing/rising from 40.7% in February 2021 to 50.7% in January 2022. (1) - Within this overall upward trend, there has actually been a downward trend from 52.5% in September 2021 to 50.7% in January 2022. (1)	2
1(b)	Explain what is meant by ‘the real interest rate will be negative’ in Argentina in January 2022. - It is when the interest rate is lower than the inflation rate in Argentina. (1) - In January 2022, it would be -10.7%/or method of calculation. (1)	2
1(c)	Consider the extent to which having ‘the fifth highest inflation rate in the world’ is likely to be a problem for Argentina’s economy. Explanation of why a high rate of inflation in Argentina might be a problem for Argentina’s economy, such as in terms of: - a reduced purchasing power of money - less competitive exports - menu costs - shoe leather costs - uncertainty in the economy and the possible impact on investment - the possible negative impact on savers - the possible negative impact on fixed income earners. However, there could be some benefits, such as: - increase in profits for firms - lower debt in real terms. Max 3 marks (Up to 2 marks for problems and up to 1 mark for benefits) Evaluation Offers a valid judgement on the extent to which a high rate of inflation in Argentina is a serious economic problem, taking into account how its rate of inflation compares with other countries and/or the fact that inflation can have benefits, such as an increase in profits for firms where prices rise by more than costs and an advantage for borrowers whose debt will be less in real terms. Max 1 mark	4

Question	Answer	Marks
1(d)	Assess whether the potential benefits of introducing maximum prices on 1432 products in Argentina are likely to outweigh the potential disadvantages. Up to 4 marks for explanation/analysis: • Explanation of potential benefits of a maximum price, including keeping prices of the products, such as the prices of essential foods/basic necessities, lower than they would otherwise be and so contributing to a possible lowering of the rate of inflation in the economy. (Up to 3 marks) • Explanation of potential disadvantages of a maximum price, including the creation of excess demand and a shortage, the possibility of a queue or waiting list, the creation of rationing and the existence of an informal market. (Up to 3 marks) The question does not explicitly require a diagram to be drawn, but credit can be given for one if it aids the explanation/analysis. Max: 4 marks Up to 2 marks for evaluation: Relevant evaluation of whether the potential benefits of introducing a maximum price on 1432 products in Argentina will outweigh the potential disadvantages, such as excess demand, the need for rationing and the possibility of an unofficial economy arising (1) leading to a conclusion. (1)	6
1(e)	Assess the potential benefits and limitations of using monetary policy to control inflation in a country such as Argentina. Up to 4 marks for explanation/analysis: • Explanation/analysis of the potential benefits of using monetary policy to control inflation in a country such as Argentina, such as the possibility that this will lead to a reduction in aggregate demand and how this may reduce inflation. (Up to 3 marks) • Explanation/analysis of the potential limitations of using monetary policy to control inflation in a country such as Argentina, such as the difficulty of knowing what the appropriate interest rate should be and the possibility that demand could be relatively interest-inelastic and the meaning of this. (Up to 3 marks) Max: 4 marks Up to 2 marks for evaluation: • Relevant evaluation which weighs up the potential benefits and limitations of using monetary policy to control inflation in a country such as Argentina. (1) • A conclusion on the likely overall effect. (1)	6

SECTION B

Question	Answer	Marks
EITHER		
1	Explain the reasons why governments impose taxes and consider whether an increase in income tax is fairer than an increase in sales taxes. Follow the point-based marking guidance at the top of this mark scheme and award: up to 3 marks for AO1 Knowledge and understanding up to 3 marks for AO2 Analysis up to 2 marks for AO3 Evaluation. AO1 Knowledge and understanding (max 3 marks) A clear understanding of the various possible reasons why governments impose taxes. AO2 Analysis (max 3 marks) Analysis of the distinction between a direct tax, such as income tax, and an indirect tax, such as a sales tax, with appropriate reference to fairness. AO3 Evaluation (max 2 marks) Offers a valid judgement on whether an increase in income tax is fairer than an increase in sales taxes (1) to reach a conclusion. (1)	8
	AO1 Knowledge and understanding	3
	AO2 Analysis	3
	AO3 Evaluation	2

Question	Answer	Marks
2	Assess whether a government should always aim to balance its budget rather than have a budget surplus or a budget deficit. Use Table A: AO1 Knowledge and understanding and AO2 Analysis and Table B: AO3 Evaluation to mark candidate responses to this question. AO1 and AO2 out of 8 marks. AO3 out of 4 marks. Indicative content Responses may include: AO1 Knowledge and understanding and AO2 Analysis • The meaning of a balanced budget. • The significance of a balanced budget. • The meaning of a budget deficit. • Link to expansionary fiscal policy. • Explanation in relation to such aims as reducing the level of unemployment or increasing the rate of economic growth in an economy. • The meaning of a budget surplus. • Link to contractionary fiscal policy. • Explanation in relation to such aims as reducing the rate of inflation or the size of the trade balance through a reduction of imports. (Up to 8 marks) AO3 Evaluation • Consideration of which fiscal position is appropriate for particular macroeconomic problems. • In conclusion, which approach will be better for particular economic situations. Accept all valid responses. (Up to 4 marks)	12
	AO1 Knowledge and understanding and AO2 Analysis	8
	AO3 Evaluation	4

Question	Answer	Marks
OR		
3	With the help of a diagram(s), explain one reason for an increase in aggregate demand and one reason for an increase in aggregate supply <u>and</u> consider whether an increase in aggregate demand will always lead to inflation. Follow the point-based marking guidance at the top of this mark scheme and award: • up to 3 marks for AO1 Knowledge and understanding. • up to 3 marks for AO2 Analysis • up to 2 marks for AO3 Evaluation. AO1 Knowledge and Understanding (max 3 marks) Aggregate demand is the total demand for an economy's goods and services at a given price level/it is the total of $C + I + G + (X - M)$ (1) Aggregate supply is the total output that producers in an economy are willing and able to supply at a given price level (1) An accurate diagram showing AD and AS curves (1) AO2 Analysis (max 3 marks) Analysis must explain a valid cause of an increase in AD (1) and a valid cause of an increase in AS (1) and show these increases by rightward shifts in both curves and the resultant impacts on the price level on an accurate diagram (1) AO3 Evaluation (max 2 marks) Whether an increase in AD will always lead to an increase in the price level (inflation) will depend on the increase in AS and/or the shape of/position on the AS curve (1). This must be clearly explained, and reserve one mark for a valid judgement (1)	8
	AO1 Knowledge and understanding	3
	AO2 Analysis	3
	AO3 Evaluation	2

Question	Answer	Marks
4	Assess whether the internal effects of inflation are more serious than the external effects of inflation for an economy. Use Table A: AO1 Knowledge and understanding and AO2 Analysis and Table B: AO3 Evaluation to mark candidate responses to this question. AO1 and AO2 out of 8 marks. AO3 out of 4 marks. Indicative content Responses may include: AO1 Knowledge and understanding and AO2 Analysis The internal effects of inflation are those which affect the domestic economy directly and may include: • Income redistribution • Menu costs (or the costs to firms of having to change their prices frequently) • Shoe leather costs (or the inconvenience of having to hold smaller quantities of cash/searching for the best rate of interest) • Uncertainty in transactions • But also, may provide a stimulus for output and be a sign of economic growth. The external effects of inflation are those which affect its international trade and may include. • Declining price competitiveness of exports and increased competitiveness for imports • This may increase the current account deficit. • May lead to a depreciation of the exchange rate. • Uncertainty in international transactions • But also, depending on price elasticity of demand, it may boost revenue from exports plus it will improve the terms of trade and may be a sign of increased demand for its goods and further stimulate output. • Both internal and external effects need to be considered to gain more than L2. • One positive effect (in addition to negative effects) only for internal or external can gain low L3. • Positive effects and negative effects analysed for both internal and external can gain top L3. AO3 Evaluation • Consideration of both the internal and external effects of inflation for an economy • An assessment of which effects are likely to be the most serious. • A justified conclusion as to which effect is likely to be the most serious. Accept all valid responses. A one-sided response cannot gain any marks for evaluation.	12

Question	Answer	Marks
5	With the help of an AD/AS diagram(s), explain cost-push inflation and demand-pull inflation in an economy and consider in what circumstances one may be more damaging than the other. Follow the point-based marking guidance at the top of this mark scheme and award: up to 3 marks for AO1 Knowledge and understanding up to 3 marks for AO2 Analysis up to 2 marks for AO3 Evaluation. AO1 Knowledge and understanding (3 marks maximum) An understanding of the causes of inflation in an economy shown through an accurate diagram with correctly labelled axes (price level and real output) (1), with cost-push inflation shown by a shift of the AS curve to the left (1) and demand-pull inflation shown by a shift of the AD curve to the right. (1) AO2 Analysis (3 marks maximum) • Uses the diagram to explain the possible damaging effects of cost-push inflation in an economy. (Up to 2 marks) • Uses the diagram to explain the possible damaging effects of demand-pull inflation in an economy. (Up to 2 marks) 3 marks maximum AO3 Evaluation (2 marks maximum) Offers a valid judgement on the comparison of the two causes of inflation in an economy, including the factors that could make one cause more damaging than the other (1) to reach a conclusion. (1)	8
	AO1 Knowledge and understanding	3
	AO2 Analysis	3
	AO3 Evaluation	2

Question	Answer	Marks
6	Assess whether monetary policy or supply-side policy is likely to be more successful in reducing the rate of inflation in an economy. Use Table A: AO1 Knowledge and understanding and AO2 Analysis and Table B: AO3 Evaluation to mark candidate responses to this question. AO1 and AO2 out of 8 marks. AO3 out of 4 marks. Indicative content Responses may include: AO1 Knowledge and understanding and AO2 Analysis • The meaning of <u>monetary policy</u>. • The tools of monetary policy appropriate to a contractionary monetary policy: decreases in the money supply and/or an increase in the rate of interest and an appreciation of the exchange rate. • An explanation of the strengths and weaknesses of monetary policy to reduce the rate of inflation in an economy. • The meaning of <u>supply-side policy</u>. • Examples of supply-side policy to reduce the rate of inflation in an economy, such as making the labour market more flexible, increased expenditure on education and training and promotion of competition in markets. • An explanation of the strengths and weaknesses of supply-side policy to reduce the rate of inflation in an economy. AO3 Evaluation • Consideration of whether each policy is appropriate for both types of inflation. • To arrive at a conclusion on whether monetary policy or supply-side policy is likely to be more successful in reducing the rate of inflation in an economy. Accept all valid responses.	12
	AO1 Knowledge and understanding and AO2 Analysis	8
	AO3 Evaluation	4

Question	Answer	Marks
7	Assess whether monetary policy is the only way to control a high rate of inflation. Use Table A: AO1 Knowledge and understanding and AO2 Analysis and Table B: AO3 Evaluation to mark candidate responses to this question. AO1 and AO2 out of 8 marks. AO3 out of 4 marks. Indicative content Responses may include: AO1 Knowledge and understanding and AO2 Analysis (max 8 marks) Explain the advantages and disadvantages of using monetary policy to control high rates of inflation to analyse its effectiveness. Points to consider may include: • The use of interest rates to dampen AD. • Reductions in money supply to dampen AD. • The use of credit regulations to influence bank lending BUT • There is also a time lag between implementing interest rate policy and it taking effect. • Other factors other than interest rates may affect consumer spending and offset the impact of a rise in interest rates e.g., consumer confidence, expectations etc. Monetary policy should be compared with the advantages and disadvantages of at least one other appropriate policy e.g., supply side and/or fiscal policy A one-sided response can only gain a maximum of Level 2. AO3 Evaluation (max 4 marks) • Consideration of the relative effectiveness monetary policy to control high rates of inflation compared with at least one other appropriate policy. • Although it is not necessary within the analysis / question, reference may be made to the relative effectiveness of these policies in controlling the different types of inflation. • A justified conclusion showing which policy is most likely to be effective in controlling high rates of inflation. A one-sided response cannot gain any marks for evaluation. Accept all valid responses.	12
	AO1 Knowledge and understanding and AO2 Analysis	8
	AO3 Evaluation	4

Question	Answer	Marks
8	Explain how monetary policy may be able to reduce the rate of inflation in an economy and consider the likely success of this policy. Follow the point-based marking guidance at the top of this mark scheme and award: up to 3 marks for AO1 Knowledge and understanding up to 3 marks for AO2 Analysis up to 2 marks for AO3 Evaluation. AO1 Knowledge and understanding (max 3 marks) An understanding of monetary policy (1); tools of monetary policy :interest rates, supply of money and regulations (1); nature of a contractionary monetary policy (1) AO2 Analysis (max 3 marks) An explanation of how the tools of monetary policy can be applied to reduce inflation (1); analysis of these changes on aggregate demand and the price level (1); analysis of the effects on output and employment (1). AO3 Evaluation (max 2 marks) The effectiveness of monetary policy will depend upon the response of consumers and firms, in particular to higher interest rates (1) May also depend on the rate of inflation and its causes (1) Reserve 1 mark for a justified conclusion.	8
	AO1 Knowledge and understanding	3
	AO2 Analysis	3
	AO3 Evaluation	2

Question	Answer	Marks
9	Assess how governments use macroeconomic intervention to achieve their macroeconomic objectives. Use Table A: AO1 Knowledge and understanding and AO2 Analysis and Table B: AO3 Evaluation to mark candidate responses to this question. AO1 and AO2 out of 8 marks. AO3 out of 4 marks. Indicative content Responses may include: AO1 Knowledge and understanding and AO2 Analysis (max 8 marks) • Macroeconomic objective of price stability • Macroeconomic objective of low unemployment • Macroeconomic objective of economic growth • Government budget as a form of intervention • Scope and use of fiscal policy as a form of intervention • Scope and use of monetary policy as a form of intervention • Scope and use of supply-side policy as a form of intervention • Examples of links between macroeconomic objectives and forms of intervention • Other objectives such as distribution of income A one-sided response can only gain a maximum mark of Level 2 AO3 Evaluation (max 4 marks) • Consideration of the extent to which macroeconomic intervention allows governments to achieve their macroeconomic policy objectives • Effectiveness of particular interventions in relation to specific macroeconomic objectives Accept all valid responses. A one-sided response cannot gain any marks for evaluation.	12
	AO1 Knowledge and understanding and AO2 Analysis	8
	AO3 Evaluation	4

Question	Answer	Marks
10	Assess whether a government should always aim for an expansionary fiscal policy rather than a contractionary fiscal policy. Use Table A: AO1 Knowledge and understanding and AO2 Analysis and Table B: AO3 Evaluation to mark candidate responses to this question. AO1 and AO2 out of 8 marks. AO3 out of 4 marks. Indicative content Responses may include: AO1 Knowledge and understanding and AO2 Analysis Explanation of when an expansionary fiscal policy would be appropriate, and how such a policy would work, such as: • to increase aggregate demand (AD) • to increase economic growth • to increase employment • to increase inflation • to encourage exports and imports. Explanation of when a contractionary fiscal policy would be appropriate, and how such a policy would work, such as: • to reduce aggregate demand (AD) • to reduce economic growth • to reduce employment • to reduce inflation • to discourage exports and imports. Level 1 responses will be assertive and lacking in explanations/mainly descriptive and/or mainly lacking in relevance to the question. Level 2 responses may contain some inaccuracies and will be one-sided. Analysis will be explained at least in part and will be largely relevant to the question. Level 3 responses will consider alternative policies/concepts etc. and will be balanced. Explanations of points raised will be offered and will be accurate and relevant to the question. AO3 Evaluation • Consideration of when a government should aim for an expansionary policy and when a government should aim for a contractionary one. • In conclusion, which approach will be better for particular economic situations. Accept all valid responses. A one-sided response cannot gain any marks for evaluation.	12
	AO1 Knowledge and understanding and AO2 Analysis	8
	AO3 Evaluation	4

Question	Answer	Marks
11	With the help of examples, explain the difference between the marginal rate of taxation and the average rate of taxation and consider whether a government should decide to increase the rate of indirect tax to raise additional revenue. Follow the point-based marking guidance at the top of this mark scheme and award: up to 3 marks for AO1 Knowledge and understanding, up to 3 marks for AO2 Analysis, and up to 2 marks for AO3 Evaluation. AO1 Knowledge and Understanding (max 3 marks) • Accurate knowledge and understanding of marginal rate of tax (MRT). That is an understanding that it is the proportion of extra income taken in tax (1). • Accurate knowledge and understanding of average rate of tax (ART) i.e., an understanding that it is the proportion of the whole of income that is taxed (1). • An accurate example (which may be numerical/graphical) of each type of tax. MRT – a person earns an extra £100 and £40 is taken as tax then the marginal rate is 40%. ART – an individual with total earnings of £10 000, total tax paid £3000 the average rate is 30% (1). AO2 Analysis (max 3 marks) Discussion is likely to focus on whether the gains in revenue exceed the disadvantages of the indirect taxes: • easier and quicker to put in place than direct taxes • they may be less easy to avoid than direct taxes • however, they are often seen as regressive and can lead to a higher MRT for poorer households • their effectiveness in raising revenue depends on PED • they may also lead to cost push inflation Note: if only the advantages or disadvantages are considered, maximum mark of 2 AO3 Evaluation (max 2 marks) An assessment of the strengths and weaknesses of using indirect taxes to raise additional government revenue (1), leading to a valid conclusion (1).	8
	AO1 Knowledge and understanding	3
	AO2 Analysis	3
	AO3 Evaluation	2

Question	Answer	Marks
12	Assess whether the achievement of a balanced budget should always be a main government macroeconomic objective. Use Table A: AO1 Knowledge and understanding and AO2 Analysis and Table B: AO3 Evaluation to mark candidate responses to this question. AO1 and AO2 out of 8 marks. AO3 out of 4 marks. Indicative content Responses may include: AO1 Knowledge and understanding and AO2 Analysis • This question is asking whether a balanced budget should always be <u>a</u> main objective rather than <u>the</u> main objective and consequently an analysis of the importance of other government macroeconomic objectives is not essential. • An analysis which directly compares the strengths and weaknesses and uses of a balanced budget with a budget in surplus and deficit may gain access to Level 3 and full marks. • The strengths of a balanced budget may include stability and may encourage both domestic and inward investment, but it may not be sufficiently flexible to deal with changing economic conditions e.g., unemployment and inflation. • A budget deficit may enable, e.g., economic growth or reduce unemployment but may be unsustainable in the long run. • A budget surplus may be necessary to solve inflation, but this may cause opportunity costs due to a lack of government spending. • Analysis of other government macroeconomic objectives may be rewarded but only in the context of a balanced or unbalanced budget e.g., the problems of achieving other objectives if the sole aim is a balanced budget. These may include difficulties in controlling inflation, unemployment, creating actual economic growth etc. Level 1 responses will be assertive and lacking in explanations / mainly descriptive and/or or mainly lacking in relevance to the question. Level 2 responses may contain some inaccuracies and may be one sided. Analysis will be explained at least in part and will be largely relevant to the question. Level 3 responses may consider alternative policies / concepts etc. and will be balanced. Explanations of points raised will be offered and will be accurate and relevant to the question. AO3 Evaluation • An overall assessment of whether the achievement of a balanced budget should always be a main government macroeconomic objective. • If part of the analysis, this should also include an assessment of the difficulties of achieving other objectives against the desirability of a balanced budget to gain higher level evaluation marks. • Leading to an overall and balanced conclusion.	12

Question	Answer	Marks
13	In 2021, year-on-year inflation in many economies increased to a level not experienced for fifty years. With the help of a diagram, explain what is meant by cost-push inflation and consider whether this type of inflation has affected your own economy since 2021. Follow the point-based marking guidance at the top of this mark scheme and award: up to 3 marks for AO1 Knowledge and understanding, up to 3 marks for AO2 Analysis, and up to 2 marks for AO3 Evaluation. AO1 Knowledge and understanding (max 3 marks) • An explanation of cost-push inflation – when the price level rises due to higher costs of production and raw materials (1). • An accurate aggregate and aggregate supply diagram showing a shift to the left of the short run AS curve (1). • This results in a rise in the price level and a contraction/movement along the aggregate demand (AD) curve (1). AO2 Analysis (max 3 marks) Points to consider: • For example, an increase in wages/salaries increases the firm's costs of production (1). Firms will look to pass these additional costs onto its customers which increase the price of all goods and services (1). • Increased import prices (due to a depreciation of the domestic currency) (1) will increase the costs of production to firms that are reliant on other countries to produce raw materials/price inelastic demand for imports (1). AO3 Evaluation (max 2 marks) • Evaluation should explain the extent to which inflation in the named economy is the result of cost-push factors as opposed to demand pull causes (1), leading to a justified conclusion (1). N.B: if the evaluation is not in the context of a named economy, then no evaluation marks can be awarded.	8
	AO1 Knowledge and understanding	3
	AO2 Analysis	3
	AO3 Evaluation	2

Question	Answer	Marks
14	Assess whether the potential benefits of an increasing rate of inflation outweigh the potential costs for an economy. Use Table A: AO1 Knowledge and understanding and AO2 Analysis and Table B: AO3 Evaluation to mark candidate responses to this question. AO1 and AO2 out of 8 marks. AO3 out of 4 marks. Indicative content Responses may include: AO1 Knowledge and understanding and AO2 Analysis Potential benefits of an increasing rate of inflation include: • It stimulates output – a low and stable inflation rate caused by existing demand may make firms feel more optimistic about the future and encourage them to invest to expand their business. • A possible reduction in the burden of debt. If inflation is rising faster than the nominal rate of interest on previous borrowing then real interest rates become negative which may stimulate consumer expenditure which, in turn, could lead to higher output and employment. Potential costs of an increasing rate of inflation include: • A reduction in net exports as rising inflation rates may reduce the international competitiveness of a country resulting in reduced export revenue and increased import expenditure. • Fiscal drag – if tax rates are not increased in line with inflation, then people are 'dragged' (pulled) into higher tax brackets. As such, lower proportions of any increase in incomes are enjoyed by the taxpayer. Level 1 responses will be assertive and lacking in explanations / mainly descriptive and/or or mainly lacking in relevance to the question. Level 2 responses may contain some inaccuracies and will be one sided. Analysis will be explained at least in part and will be largely relevant to the question. Level 3 responses will consider alternative policies / concepts etc. and will be balanced. Explanations of points raised will be offered and will be accurate and relevant to the question. AO3 Evaluation Requires an assessment of the benefits and costs of increasing rate of inflation (which may refer to specific groups) which leads to a justified conclusion as to which the benefits outweigh the potential costs. Accept all valid responses. N.B: A one-sided response cannot gain any marks for evaluation.	12
	AO1 Knowledge and understanding and AO2 Analysis	8
	AO3 Evaluation	4

Question	Answer	Marks
15	Explain <u>three</u> of the components of aggregate demand and consider the extent to which they may be increased without leading to inflation. Follow the point-based marking guidance at the top of this mark scheme and award: up to 3 marks for AO1 Knowledge and understanding up to 3 marks for AO2 Analysis up to 2 marks for AO3 Evaluation. AO1 Knowledge and Understanding (max 3 marks) For a clear and accurate explanation of three components of aggregate demand i.e., consumer spending, investment, government spending and / or net exports (1 × 3). Note. Q4(b) lists three components of AD so any AO1 marks CANNOT be awarded for simply mentioning a component. AO2 Analysis (max 3 marks) For an analysis that explains that one cause of inflation is a situation where AD rises more than AS (1) but also considers why this may or may not occur e.g., the economy is operating at less than capacity, some of the increase in AD also increases AS etc. (up to 2 marks) Note. If both scenarios are considered, then full marks may be awarded. For one-sided answers, maximum mark of 1. AO3 Evaluation (max 2 marks) For an answer that clearly considers both sides (1) leading to a valid conclusion (1).	8
	AO1 Knowledge and understanding	3
	AO2 Analysis	3
	AO3 Evaluation	2

Question	Answer	Marks
16	The Chinese government has re-emphasised its commitment to rebalancing the economy from one focused mainly on investment and exports to one aiming to increase the proportion spent on domestic consumption. Assess the extent to which it would be possible to achieve this by fiscal policy alone. Use Table A: AO1 Knowledge and understanding and AO2 Analysis and Table B: AO3 Evaluation to mark candidate responses to this question. AO1 and AO2 out of 8 marks. AO3 out of 4 marks. Indicative content Responses may include: AO1 Knowledge and understanding and AO2 Analysis - The analysis must focus on the usefulness of using fiscal policy to rebalance the economy in the way suggested. Domestic consumption can be boosted by a number of fiscal policies including policies on taxation and government spending, but the main problem would be achieving this in a sustainable way. - This analysis must be compared with alternative policies including supply-side policies and monetary policies plus fiscal policies with a supply-side content. Level 1 responses will be assertive and lacking in explanations / mainly descriptive and/or or mainly lacking in relevance to the question. Level 2 responses may contain some inaccuracies and will be one sided. Analysis will be explained at least in part and will be largely relevant to the question. Level 3 responses will consider alternative policies / concepts etc. and will be balanced. Explanations of points raised will be offered and will be accurate and relevant to the question. AO3 Evaluation - For a full evaluation of more than one type of policy that clearly assesses and compares the potential usefulness of them to rebalance the Chinese economy leading to a valid conclusion. Accept all valid responses.	12
	AO1 Knowledge and understanding and AO2 Analysis	8
	AO3 Evaluation	4

Question	Answer	Marks
17	With the help of a diagram, explain how increases in aggregate demand affect the level of real output and the price level in an economy <u>and</u> consider when such increases may become a problem. Follow the point-based marking guidance at the top of this mark scheme and award: up to 3 marks for AO1 Knowledge and understanding up to 3 marks for AO2 Analysis up to 2 marks for AO3 Evaluation. AO1 Knowledge and understanding (max 3 marks) • An understanding of the components of AD i.e., $C+G+I+X-M$. (1) • An accurately labeled AD/AS diagram showing the initial equilibrium point. (1) • That also shows a shift or shifts to the right of the AD curve and the subsequent changes in the price level and real GDP. (1) AO2 Analysis (max 3 marks) • For an explanation of why AD might increase. (1) • For an explanation of why this increase may not cause problems such as inflation e.g., because of the shape of the AS curve, because AS may increase in line with AD if the increase is due to an increase in I. (1) • For an explanation of why it may cause problems e.g., the economy is at full capacity and AS cannot increase. (1) AO3 Evaluation (max 2 marks) For valid evaluation e.g., a recognition that increases in AD may result in an inflationary increase in the price level beyond the full employment level of output. Reserve 1 mark for a justified conclusion. Please use a text box to show the mark split e.g., 3 2 1	8
	AO1 Knowledge and understanding	3
	AO2 Analysis	3
	AO3 Evaluation	2

Question	Answer	Marks
18	With the help of an AD/AS diagram, explain what is meant by an expansionary fiscal policy and consider the extent to which an expansionary fiscal policy will increase the level of aggregate demand. Follow the point-based marking guidance at the top of this mark scheme and award: up to 3 marks for AO1 Knowledge and understanding up to 3 marks for AO2 Analysis up to 2 marks for AO3 Evaluation. AO1 Knowledge and Understanding (max 3 marks) A clear understanding of what is meant by: Expansionary fiscal policy being an increase in government spending and/or reduction in tax rates (1) Aggregate demand is the total demand for an economy's goods and services at a given price level / it is the total of $C + I + G + (X-M)$ (1) An accurate diagram showing AD and AS curves (1) AO2 Analysis (max 3 marks) An explanation of how a decrease in income tax (for example) will increase disposable income (1) that cause an increase in consumption/which (as a component of AD) causes an increase in aggregate demand (1). An accurate diagram showing a rightwards shift in the AD curve. AO3 Evaluation (max 2 marks) One mark for a valid explanation. For example, cutting income tax will not directly increase the consumption of those that earn below tax thresholds (1) or that the consumers may use the additional income to spend on imports or reduce debt (1). The second mark is for a justified conclusion. Please use a text box to show the mark split e.g., 3 3 1	8
	AO1 Knowledge and understanding	3
	AO2 Analysis	3
	AO3 Evaluation	2

Question	Answer	Marks
19	Assess whether supply-side policy is the best method to reduce the rate of inflation. Use Table A: AO1 Knowledge and understanding and AO2 Analysis and Table B: AO3 Evaluation to mark candidate responses to this question. AO1 and AO2 out of 8 marks. AO3 out of 4 marks. Indicative content Responses may include: AO1 Knowledge and understanding and AO2 Analysis The meaning of the terms supply-side policy and inflation An explanation of how supply-side policy would reduce the rate of inflation from increasing the productive capacity of an economy – e.g., improving the quality of factors of production via – education and training, improved health provision, development of infrastructure (road/rail links, broadband) An explanation of the drawbacks of using supply-side policy to reduce the rate of inflation – significant time lags, opportunity cost of government spending, lack of retained profit for firms to train staff, the quality of education and training, possible increase in government debt. An explanation of the advantages and disadvantages of at least one alternative policy that might be used to reduce the rate of inflation e.g., monetary and/or fiscal policy. Level 1 responses will be assertive and lacking in explanations / mainly descriptive and/or or mainly lacking in relevance to the question. Level 2 responses may contain some inaccuracies and will be one sided. Analysis will be explained at least in part and will be largely relevant to the question. Level 3 responses will consider alternative policies / concepts etc. and will be balanced. Explanations of points raised will be offered and will be accurate and relevant to the question. AO3 Evaluation Consideration that fully assesses the relative effectiveness of supply side policy to reduce the rate of inflation compared with at least one other policy and arrives at a reasoned conclusion concerning whether the supply side policy is the ‘best’ policy. A one-sided response cannot gain any marks for evaluation. Please use a text box to show both the levels awarded plus the mark split e.g., L2-5 L1-1 Accept all valid responses.	12
	AO1 Knowledge and understanding and AO2 Analysis	8
	AO3 Evaluation	4

SECTION C

1.	C	11.	C	21.	A
2.	B	12.	C	22.	B
3.	D	13.	C	23.	A
4.	B	14.	C	24.	B
5.	D	15.	C	25.	A
6.	C	16.	A	26.	A
7.	D	17.	C	27.	B
8.	B	18.	A	28.	C
9.	C	19.	D	29.	B
10.	B	20.	B	30.	C